THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 7 — SOCIAL SCIENCE · HARD LEVEL CHAPTER TEST SET 3

Chapter 12: **Understanding Markets** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Hard level: application and higher-order questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Which of these may reduce consumers' trust in online markets? 1

(a) secure payment **(b)** reviews
(c) quick delivery **(d)** fake products and no return policy

2. A government sets a minimum support price above the market price. The effect is 1

(a) no effect **(b)** farmers get higher assured price
(c) consumers gain **(d)** farmers lose

3. Which of these steps will most reduce vegetable price swings? 1

(a) banning sale **(b)** stopping supply
(c) closing markets **(d)** cold storage and better transport

4. Why do small markets sell items of local specialities? 1

(a) local skills and resources **(b)** foreign goods
(c) no demand **(d)** no local items

5. A city has many shops selling the same item. The likely outcome is 1

(a) no sales **(b)** no choice
(c) competition keeps prices low **(d)** prices are very high

6. The expression 'middlemen eat up profits' suggests 1

(a) farmers receive all **(b)** consumers pay less
(c) no middlemen **(d)** farmers receive less than consumers pay

7. A product is sold at a profit of 20 per cent on cost ₹250. The selling price is 1

(a) ₹200 **(b)** ₹320 **(c)** ₹300 **(d)** ₹270

8. A single seller controls the supply of a good. The consumer's problem is 1

(a) more supply **(b)** high price and less choice
(c) low price **(d)** more choice

9. A buyer sees ISI and FSSAI marks. The mark suggests 1

(a) the product is old **(b)** the product meets certain standards
(c) the product is free **(d)** the product is local

10. Why is price negotiation less common in supermarkets? 1

(a) no customers **(b)** no goods
(c) prices are fixed and displayed **(d)** no sellers

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. What does a bill of sale prove? 2

12. What is meant by a monopoly? 2

13. Why does transport cost vary? 2

14. Why do some goods need cold chains? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Evaluate the role of MSP in farmers' decisions. 3

16. Evaluate consumer awareness as a market safeguard. 3

17. Discuss the impact of digital payments on markets. 3

OR

Examine the role of government in price control of essential drugs. 3

18. Examine the role of markets in cultural exchange. 3

OR

Examine the role of consumer courts. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Evaluate the government's role in market regulation with examples of MSP, minimum wages and quality marks. 5

OR

Analyse how competition and monopoly affect prices and choice. 5

20. Solve and explain: A retailer buys a gadget for ₹5,000, marks it up by 30 per cent and offers 10 per cent discount. Find the selling price and profit percent. 5

OR

Describe the evolution of markets from barter fairs to digital platforms. 5

END OF QUESTION PAPER — Total: 40 Marks

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